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Securities and Exchange Commission
100 F St. NW
Washington, DC 20549-9303
Rule-comments@sec.gov

Re: Order Protection Rule File Number 4-862

Dear SEC:

- The Order Protection Rule (OPR), NMS Rule 611 is redundant to existing best execution rules and should be scrapped.
- Best execution is the job of the broker. Brokers can observe the best market just as easily as the exchanges and route accordingly.
- Most developed markets have not copied the rule, and for good reason.
- The OPR adds unnecessary cost and complexity to the market.
- Scrapping the OPR will not harm retail investors as most of their trading is off-exchange.
- The round lot and protected quote should be scrapped.
- The NBBO should be replaced with an Indicative BBO (IBBO) for a given dollar amount.
- Best execution should be measured against an Effective BBO (EBBO) based on the size of a given trade against displayed depth of book in the lit markets.

Background

A long time ago, in a galaxy far, not far away, the NYSE Empire was the dominant stock exchange in the universe.¹ The 1,366 members on its trading floor commanded an 85% market share in the stocks that listed on its exchange.

It was a period of technology war. A band of rebels, striking from a hidden base in Washington, have won their first victory against the not-so-evil NYSE Empire. During the battle, rebel economists managed to steal secret plans to the Empire's ultimate weapon: How markets at the time actually functioned.

I am talking, of course, about the Special Study commissioned by Congress and completed by the SEC in 1963.¹ In that pre-computer and pre-internet era, the stock market was even more of an opaque mystery than it is today. The director of the study, Micheal Cohen, remarked on some of the important things that he thought would surprise his audience:²

Let me just mention five facts about the securities markets that, in combination, are of great significance, and some of which may come as a surprise to many of you. First, the major regional exchanges do most of their business in New York Stock Exchange listed stocks. Second, New York Stock Exchange member firms are the dominant members of the major regional exchanges. Third, the New York Stock Exchange firms also do more than half of the dollar volume of all over-the-counter business in stocks, even though they are numerically in the minority. Fourth, an over-the-counter business of growing proportions is conducted by non-New York Stock Exchange members in New York Stock Exchange listed stocks. And fifth, the institutional share of the market has been increasing even though the number of individual public stockholders has also been increasing.

This took a staff of 65 working months to compile. In the modern world, a few clicks of the mouse bring up-to-the-minute data. Here are some recent

¹ For more on the study, see https://www.sechistorical.org/museum/galleries/tbi/special_a.php. Columbia is conducting an excellent new special study. For details, see <https://capital-markets.law.columbia.edu/content/new-special-study-securities-markets>.

² See Michael Cohen's speech at <https://www.sec.gov/news/speech/1963/051063cohen.pdf>

data on the market share of our exchanges, showing how competitive our current market structure is:³

Data is updated every 1 minute. Last Update as of 08/22/2025 20:00

10 Day Moving Average								
Exchanges	Tape A	Tape A%	Tape B	Tape B%	Tape C	Tape C%	Total	Total%
Nasdaq	449,605,361	9.5%	223,886,139	7.5%	1,575,753,539	18.2%	2,249,245,038	13.8%
ARCA	232,780,733	4.9%	480,903,429	16.2%	942,254,289	10.9%	1,655,938,450	10.1%
NYSE	1,046,199,202	22.2%	93,284,000	3.1%	137,680,385	1.6%	1,277,163,587	7.8%
EDGX	136,116,374	2.9%	166,390,333	5.6%	479,727,783	5.5%	782,234,490	4.8%
BATS Z	200,620,645	4.3%	146,822,946	4.9%	295,160,742	3.4%	642,604,333	3.9%
IEX	195,196,012	4.1%	82,967,304	2.8%	216,399,242	2.5%	494,562,558	3.0%
MEMX	54,728,906	1.2%	72,337,549	2.4%	182,057,296	2.1%	309,123,751	1.9%
MIAX PEARL	26,462,297	0.6%	58,619,081	2.0%	86,531,212	1.0%	171,612,590	1.0%
EDGA	26,305,109	0.6%	25,322,199	0.9%	68,162,623	0.8%	119,789,931	0.7%
BATS Y	37,737,642	0.8%	25,986,580	0.9%	53,314,758	0.6%	117,038,981	0.7%
NYSE NATIONAL	21,340,488	0.5%	15,289,086	0.5%	26,172,333	0.3%	62,801,907	0.4%
NYSE CHICAGO	16,343,773	0.3%	16,452,128	0.6%	27,823,744	0.3%	60,619,645	0.4%
BX	13,157,376	0.3%	9,514,121	0.3%	20,867,589	0.2%	43,539,087	0.3%
AMEX	5,209,298	0.1%	28,017,351	0.9%	7,353,515	0.1%	40,580,163	0.2%
PSX	5,926,314	0.1%	4,427,754	0.1%	8,900,899	0.1%	19,254,967	0.1%
LTSE	376,562	0.0%	324,677	0.0%	516,345	0.0%	1,217,584	0.0%
FINRA/TRF	Tape A	Tape A%	Tape B	Tape B%	Tape C	Tape C%	Total	Total%
FINRA/Nasdaq TRF™ Carteret	2,071,885,882	43.9%	1,343,486,900	45.2%	3,938,060,647	45.5%	7,353,433,429	45.0%
FINRA/NYSE TRF	167,071,879	3.5%	172,977,643	5.8%	567,834,299	6.6%	907,883,822	5.6%
FINRA/Nasdaq TRF™ Chicago	10,871,180	0.2%	8,013,621	0.3%	29,952,806	0.3%	48,837,606	0.3%
Total	4,717,935,032	100.0%	2,975,022,839	100.0%	8,664,524,046	100.0%	16,357,481,918	

The Special Study informed a long debate about our financial market structure. Along the way, the NYSE attempted to deny access to its data feeds to entities it felt were competitors, like Weeden and Company.⁴ As technology marched along, a growing groundswell (along with Congressional and regulatory pressure) against fixed commissions led to their elimination on May 1, 1975, the infamous “May Day.” A month later,

³ <https://www.nasdaqtrader.com/trader.aspx?id=FullVolumeSummary#> accessed August 23, 2025. Tape A refers to NYSE-listed securities, Tape B to Amex and “regional” exchanges and consists mostly of Exchange-Traded Products (ETPs), and Tape C refers to Nasdaq-listed securities. The Trade Reporting Facilities (TRFs) are where trades that occur off-exchange are reported.

⁴ See Don Weeden’s excellent memoir for a good description of the battle. *Weeden & Co.: The New York Stock Exchange and the Struggle Over a National Securities Market* Weeden Securities Corporation, New York, 2002.

Congress passed the 1975 amendments to the Securities Exchange Act of 1934, commonly known as the National Market System amendments.

For a change, Congress got something right. It recognized the importance of technology, and in particular the importance of information in Section 11A where it found:

"(B) New data processing and communications techniques create the opportunity for more efficient and effective market"

Congress also appreciated the need for a competitive market structure and declared:

"It is in the public interest and appropriate for the protection of investors and the maintenance of fair and orderly markets to assure — "

- (i) economically efficient execution of securities transactions;"
- (ii) fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets;"
- (iii) the availability to brokers, dealers, and investors of information with respect to quotations for and transactions in securities;"
- (iv) the practicability of brokers executing investors' orders in the best market; and
- (v) an opportunity, consistent with the provisions of clauses (i) and (iv) of this subparagraph, for investors' orders to be executed without the participation of a dealer."

I particularly love the free-wheeling nature of this Congressional mandate. Congress did not mandate a CLOB.⁵ It called for "fair competition"

⁵ CLOB is industry lingo for a Central Limit Order Book, a single consolidated trading platform that would match all orders. Some Stalinists support this on the notion that forcing all liquidity at gunpoint into a single trading platform somehow produces the best outcome. There are numerous flaws in this logic. For one thing, mandating and micromanaging market structure results in ossifying the structure and prevents further innovation. Some liquidity is conditional liquidity that is not represented well in a traditional limit-order book. For example, a broker may be willing to take the other side of a large institutional trade because it repeatedly trades with that institution and knows that the broker won't be burned on the trade. On the other hand, that broker may not be willing to trade the same size with an anonymous blip on a trading screen.

Different groups of investors prefer different market mechanisms. Retail investors like me are affected most by the bid-ask spread and care little about whatever information is revealed by our tiny trades. Large institutions, on the other hand, care deeply about information leakage and prefer venues and trading techniques that minimize leakage.

between exchanges, and between exchanges and “other than exchange markets.” It recognized the existence of dealers, but also wanted to make sure they did not create a cartel that forced people to trade with them.

Despite this Congressional mandate for competition, the SEC did not approve any new exchange applications for over 30 years. As late as the mid-1990s, it was still virtually impossible to trade a NASDAQ-listed stock without going through a dealer.

Congress went on with more really good direction. It recognized the importance of information in the markets and called for them to be linked together through information. Long before Sun Microsystems famously remarked during the internet boom, “The network is the computer,” Congress intuitively understood that, “The network is the market.”⁶ Congress then directed the SEC to build a digitally-linked “national market system.”

“(D) The linking of all markets for qualified securities through communication and data processing facilities will foster efficiency, enhance competition, increase the information available to brokers, dealers, and investors, facilitate the offsetting of investors' orders, and contribute to best execution of such orders.”

(2) The Commission is directed, therefore, having due regard for the public interest, the protection of investors, and the maintenance of fair and orderly markets, to use its authority under this title to facilitate the establishment of a national market system for securities (which may include subsystems for particular types of securities with unique trading characteristics) in accordance with the findings and to carry out the objectives set forth in paragraph (1) of this subsection.

Our national market system gradually evolved with a number of information linkages. These included the consolidated tape with last sale,

There is no “one size fits all” approach to market structure that everyone agrees is perfect. This is why we will have fun debating market structure for generations to come.

⁶ They didn’t say so explicitly. The words are mine. See <https://www.sec.gov/comments/s7-02-10/s70210-172.pdf>

and the consolidated quote with the best bids and offers from all the exchanges. On the exchange-listed side, the Intermarket Trading System (ITS) facilitated exchanges sending orders to each other. It was, however, quite slow and clunky compared with today's trading tools. One market practitioner described this to me at the time as "the equivalent of two tin cans connected by a piece of string."

The trade-through rule in effect pre-NMS held that exchanges needed to honor the quotes of another exchange. An exchange was expected to match the best quote, and if it was unwilling to, then route an incoming market order to the exchange with the better quote. If one exchange traded through another exchange's better quote, the exchange with the better price could reach out to the offending exchange and demand that its order be filled.

For example, suppose the NYSE was quoting a bid of \$10.00 and the Pacific Coast Exchange's bid was \$10 1/8. If the NYSE received a market sell order, the NYSE specialist could do several things:

1. He could match the Pacific bid and buy the shares at \$10 1/8.⁷
2. He could route the order over to the Pacific via ITS.
3. He could fill the order by buying at his quote of \$10.00 and then immediately send a sell order to the Pacific over ITS to hit its bid of \$10 1/8.
4. He could fill the order by buying at his quote of \$10.00 and wait for the Pacific to complain. If they did, he would sell to them at their quote of \$10 1/8.

I personally witnessed this on the floor of the NYSE back in the 1990s.⁸ The Pacific was quoting a better price in a particular stock and the NYSE specialist was routinely trading through it. I asked him why he didn't send

⁷ It was almost always a he in those days.

⁸ I also met the people whose job it was to call the offending exchange and demand they meet their obligation.

the order to the Pacific, and he claimed that the Pacific quote was often stale and the Pacific routinely refused to honor its quote when he tried to hit it. Thus, he waited for them to complain.

This system was possible because all of the competing exchanges had specialists who acted as market makers. When an exchange complained about a trade through, the specialist on the exchange that did the trade through could make good out of its own inventory.

There was no trade-through rule in the NASDAQ world.⁹ In those days, NASDAQ was not an exchange and rules like the trade-through rule in the exchange world did not apply to it. It was a dealer market, in which most trades went through dealers who traded on their own behalf. NASDAQ had no limit order book. All the NASDAQ system did was display dealer quotes. Indeed, several attempts by the NASD to install a limit order book died at the SEC.¹⁰ Dealers were expected to honor their own quotes, but they were under no obligation to honor the quotes of other dealers.¹¹ However, many of them did match the best bid or offer as a good business practice. As most NASDAQ trades in those days were done over the telephone with the dealers, enforcing a trade-through rule like the one that exchange had to follow would have been extremely difficult.

NASDAQ eventually evolved into Nasdaq. It automated small trades in the Small Order Execution System (SOES) and eventually got a limit book, first in SuperMontage, and then by acquiring the Island and Instinet ECNs.

⁹ In those days, NASDAQ was an acronym for the National Association of Securities Dealers Automated Quotation and thus capitalized. More recent Nasdaq branding has dropped the capitalization and it is just Nasdaq. Since I am writing about the *ancien regime* when NASDAQ was a dealer market, I use NASDAQ as it was used then to refer to that era and Nasdaq to refer to the more recent era.

¹⁰ There was substantial political opposition from the dealer community to having NASDAQ install a limit order book. See <https://www.tradersmagazine.com/news/traders-fight-nasdaqs-proposed-trading-system/> for some quotes by Bernie Madoff on a 1997 NASD proposal to put in a limit order book.

¹¹ Even though NASDAQ dealers were expected to honor their quotes, they could back out of them under the 15 (later 17) second rule, in which they could refuse to honor their quote on the grounds they were in the process of updating it, as long as they updated it in 15 seconds.

In the early 2000s, when the debate over Regulation NMS was raging, the NYSE was also in the early stages of automation. Most trades still had human intervention on the physical NYSE trading floor.

Technology brought in more automation and more competition.¹² Automated trading systems, known in those days as Electronic Communication Networks (ECNs), arose with their own limit order books. They operated trading engines that automatically matched buy and sell orders with no human intervention. As they did not have exchange licenses, they were not exchanges. They were thus regulated as broker-dealers under the supervision of the NASD, which resulted in a lighter regulatory burden.¹³ The ECNs did not have specialists who maintained a securities inventory. This made it impossible for them to abide by the trade-through rule as it then applied in practice to exchanges. If an ECN traded through an exchange quote and the offended exchange later demanded that the ECN fill the exchange's quote, the ECN would be unable to do so: The ECN had no inventory to fulfill the exchange's demand, and it could not go back to the buyer and seller it had matched to undo or modify the terms of the trade.

This made it virtually impossible for the ECNs to compete in trading NYSE-listed stocks. They could and did compete successfully in the NASDAQ-listed space, as the early trade-through rule did not apply in the NASDAQ world. The ECNs complained to the SEC that the trade-through rule was anti-competitive and should be scrapped. This was part of the impetus that led to what eventually became Regulation NMS. No one was calling for a trade-through rule in the NASDAQ world.

The NYSE, seeing that its technological competition wanted to get rid of the trade-through rule, waged an extensive lobbying campaign to keep it. They rallied listing companies and even put full-page advertisements in

¹² The Cincinnati Stock Exchange was the first stock exchange in the US to fully automate. See Don Weeden's memoir (*op cit*) for more details.

¹³ Many ECNs (now known as ATSs) eventually got exchange licenses.

newspapers calling for a rule to make sure that investors always get the best price.¹⁴

The SEC, in its infinite wisdom, decided to update the trade-through rule and apply it to NASDAQ as well when it promulgated Regulation NMS. However, it made an important change that greatly accelerated the demise of the NYSE's market share. It made the new trade-through rule applicable only to orders that were immediately accessible. In other words, automatically accessible quotes were "protected" and not to be traded through, but quotes that required human interaction, such as on the NYSE floor, were not. This effectively forced the NYSE to adopt automated electronic trading and to electronically connect to the other exchanges.

One of the key characteristics of markets, and especially financial markets, is their network effect. Network products are products that become more useful when more people use the product. If you had the only telephone in the world, you would have a useless paperweight. However, telephones become more valuable when more people have phones. This is especially true in markets: Buyers want to go where the seller are and sellers want to go where the buyers are. As traders like to say, "Liquidity attracts liquidity."

When two networks compete, but they are not interconnected, the larger network has a competitive advantage over the smaller network. There is a gravitational pull towards the larger network. For this reason, products with strong network features tend to be "winner-takes-all" products where a dominant winner emerges. Examples include computer operating

¹⁴ If I had infinite free time, I would go back and try to find the full-page ad. Instead, I leave that as an exercise for the reader. To see some examples of the result of the NYSE lobbying campaign, you can read some of the comment letters submitted by NYSE-listed companies in the NMS comment file at <https://www.sec.gov/rules/proposed/s71004.shtml>. One example is <https://www.sec.gov/rules/proposed/s71004/asmith070204.htm>. One of the more interesting ones are from a SIAC employee about how he was asked by NYSE management to write in against a CLOB. (SIAC was the data arm of the NYSE.) <https://www.sec.gov/files/rules/proposed/s71004/s71004-761.pdf>.

systems (e.g. Windows) and technology format battles, such as HD-DVD versus BluRay in videodisks.

However, if two networks are interconnected, so that a user of either network can access the entire network, then there is one big network. Neither of the contributing networks has a network advantage over the other network, regardless of relative size. If, however, the two networks are not interconnected, then the larger network has a large advantage over the smaller one.

In the days before Regulation NMS, the NYSE floor had a huge network advantage over the rest of the market. The level of interconnection was quite crude: The “two tin cans connected by a piece of string” ITS system didn’t do much. A limit order sent to a regional exchange could be traded-through all day long, so there was little incentive to send an order there.

The ancient NYSE was very protective of its network advantage and prevented interconnections. Its actions to prevent rivals like Weeden and Company from accessing its data were but one example. Congress rightly said “Oh no you don’t!” in the 1975 National Market System amendments to the ’34 Act. Congress ordered for data to be available to everyone “on terms not unreasonably discriminatory.”¹⁵

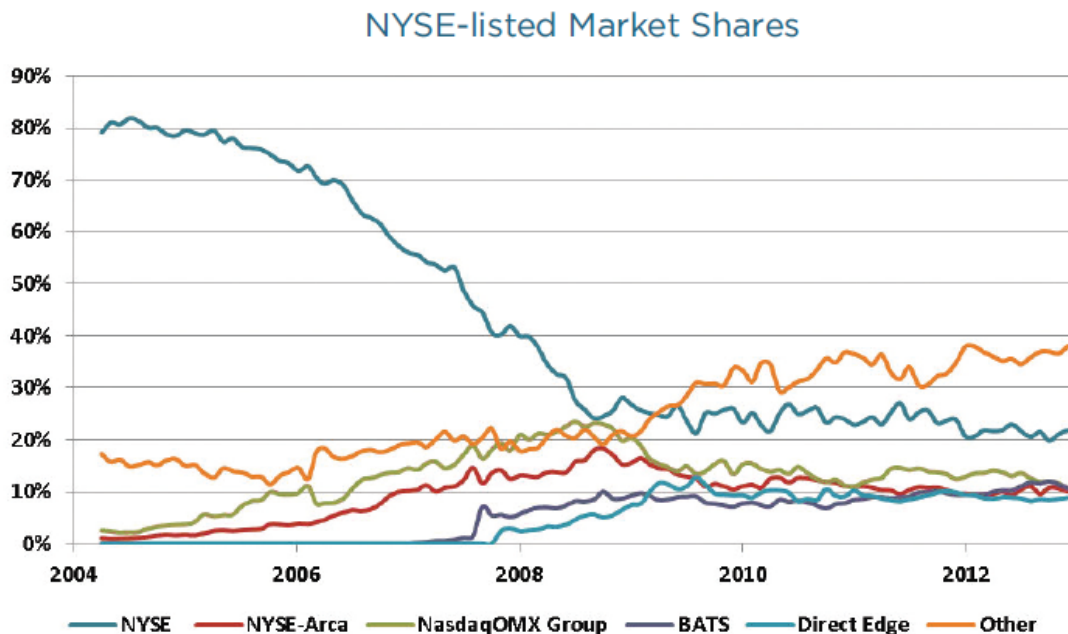
The NYSE’s slowness to automate was yet another example of protecting its network advantages.¹⁶ The only way to access NYSE liquidity was on the NYSE’s terms on the NYSE’s physical trading floor, which made it difficult for non-member electronic firms and rival exchanges to interconnect with its network.

The Order Protection Rule (NMS Rule 611) forced interconnection. It created a virtual national market system. The result was a rapid and

¹⁵ See §11A(c)(1)(d) of the ’34 Act.

¹⁶ A current example of a dominant network impeding access to rivals is in Apple text messaging. Texting between Android and Apple users has sometimes been problematic. See <https://www.tomsguide.com/phones/my-android-smartphone-was-ruining-my-social-life-but-not-in-the-way-you-d-think-heres-how-i-fixed-it>

dramatic drop in the NYSE's market share in its listed stocks. The following graph demonstrates what happened:



Source: Equity Trading in the 21st Century¹⁷

Rule 611 certainly accelerated the network interconnection of previously only loosely connected trading platforms. However, advances in communication and information technology were also increasing the interconnectedness of the market.

The world is different now. There is no longer a dominant exchange.

¹⁷ Angel, James J., Lawrence E. Harris, and Chester S. Spatt. "Equity trading in the 21st century: An update." *The Quarterly Journal of Finance* The 5.01 (2015): 1550002.

The Order Protection Rule did its job of taming the NYSE's dominance of the US market, if indeed that was its job. U.S. equity market structure is very different now. We now have over a dozen automated exchanges fighting over market share. No one exchange group or platform dominates the trading in any given stock.

Dropping the OPR will not lead to a re-concentration in the equity market.

If the OPR is eliminated, will a dominant platform re-emerge? Will the 1,366 former NYSE seat holders emerge from their Florida retirements and recapture an 85% market share? I think not. Our market participants are now so informationally linked that they are now in one virtual network. Brokers now have smart order routing tools that they did not have back in the 20th century. They can now easily see who is posting the best quote and can use their predictive analytic tools to measure who has the best chance of getting price improvement.

Most developed markets have competitive market structures but no OPR. In the EU and the UK, the legacy exchanges that formerly dominated each country lost significant market share against entrants as technology improvements made it easier for market participants to get information and route trades. No OPR was needed.

Dropping OPR will not harm retail investors because their orders are executed off exchange.

Almost all retail order flow is routed to off-exchange wholesalers, as can be seen from the Rule 606 reports from major brokerage firms. Here is part of Schwab's latest report:

Charles Schwab - Held NMS Stocks and Options Order Routing Public Report

Generated on Tue Jul 22 2025 00:23:10 GMT-0400 (Eastern Daylight Time)

2nd Quarter, 2025

April 2025

S&P 500 Stocks

Summary

Non-Directed Orders as % of All Orders	Market Orders as % of Non-Directed Orders	Marketable Limit Orders as % of Non-Directed Orders	Non-Marketable Limit Orders as % of Non-Directed Orders	Other Orders as % of Non-Directed Orders
99.97	33.14	10.23	45.62	11.01

Venues

Venue - Non-directed Order Flow	Non-Directed Orders (%)	Market Orders (%)	Marketable Limit Orders (%)	Non-Marketable Limit Orders (%)	Other Orders (%)	Net Payment Paid/Received for Market Orders(USD)	Net Payment Paid/Received for Market Orders(cents per hundred shares)	Net Payment Paid/Received for Marketable Limit Orders(USD)	Net Payment Paid/Received for Marketable Limit Orders(cents per hundred shares)	Net Payment Paid/Received for Non-Marketable Limit Orders(USD)	Net Payment Paid/Received for Non-Marketable Limit Orders(cents per hundred shares)	Net Payment Paid/Received for Other Orders(USD)	Net Payment Paid/Received for Other Orders(cents per hundred shares)
CITADEL SECURITIES LLC	31.10	40.82	38.46	24.35	23.05	1,740,906.66	9.9897	397,466.96	9.2255	729,161.33	25.7204	470,905.86	10.9089
Jane Street Capital	21.01	8.56	17.28	32.06	16.18	380,312.17	9.9981	123,531.97	8.5897	1,362,590.17	28.7726	252,282.64	15.9842
Virtu Americas, LLC	20.83	23.97	24.32	16.41	14.03	998,570.99	9.9944	140,545.85	5.9141	685,965.98	27.7339	297,958.47	11.3756
Hudson River Trading (HRT)	9.94	8.55	6.92	12.08	8.11	373,508.34	9.8647	73,240.05	9.9836	817,222.63	32.4766	190,156.47	15.9801
G1 Execution Services, LLC	7.11	10.84	6.91	1.31	20.06	480,721.05	9.9902	86,910.57	9.9975	87,906.86	32.8252	202,336.41	10.4435
Two Sigma Securities, LLC	5.48	0.99	1.66	7.94	12.37	42,826.65	10.0000	14,347.44	10.0051	494,386.56	32.0683	121,184.62	13.9580

As a retail investor, I am actually happy with this segmented marketplace. Because little retail orders like mine contain little risk of adverse selection to market makers, market makers can offer better prices to people like me than they are willing to offer in anonymous limit order books. Note only that, market makers pay for the privilege of taking the other side of my trades. This is a far better deal for my broker than paying take fees to the exchanges. This comes back to me through lower commissions, funnier Super Bowl baby ads, and random price “improvement.”

This also means that retail investors like me are not really affected at all by the existing trade-through rule, as it only applies to actions by exchanges. Dropping the OPR will have no effect on retail investors.

OPR is redundant because of the best execution rules.

Brokers have a strong duty to get the best price for their clients. Period. This is more complicated than just routing an order to the market that is currently quoting the best price, because multiple markets may be quoting the same price, and multiple market makers promise to match or improve the best quoted price. All of the market centers promise random amounts of price improvement over the quoted price.

FINRA Rule 5310 requires firms to do a “regular and rigorous” review of their execution quality. My impression based on numerous discussions with member firms over the years is that firms take this requirement very seriously.¹⁸ This is especially so after the large number of high-profile enforcement cases in recent years. With brokers already working hard to find the best place to trade, they will not route an order to a platform that is not quoting the best price or promising to match or beat the best price.

Trading platforms have commercial incentives to get the best price for their customers. They should be allowed to compete on rules.

Even without a trade-through rule, trading platforms may promise to route out to another platform if that other platform has a better price. Such a policy helps to bring in order flow by assuring customers that they will get the best price. The Archipelago ECN (which later became an exchange and then part of the NYSE family) was one of them.¹⁹ I believe that Nasdaq does this in their Nordic markets as well. I suspect that many of our existing exchanges will continue to follow this practice as a service to their customers who want it. Indeed, exchanges should be free to compete on whether they want to offer such a rule or not.

Similarly, investors should be able to opt out of routing if they so choose. Market participants should have the freedom to trade as they see fit. An investor who places a higher value on speed and certainty of execution than the hypothetical possibility of a better but slower and less certain fill elsewhere should be allowed to make their own decisions.

¹⁸ Best Execution is one of the sessions I teach in the FINRA Certified Regulatory and Compliance Professional (CRCP®) program at Georgetown.

¹⁹ Indeed, even the name Archipelago was a jab on the name of its big rival, the Island ECN. Archipelago (now NYSE-Arca) promised to route orders to whatever islands of liquidity it could find if it did not have the best price already sitting on its books.

Getting rid of the OPR simplifies market structure and regulatory bandwidth.

The implementation of the OPR brings up the many debates of what quotes should be “protected.” Should they be of a certain size? What about markets with different bells and whistles in their matching engines, such as delays for certain classes of customers? By getting rid of the OPR, we no longer need to quibble over which quotes should be protected. Scrapping the OPR also scraps the need for a protected quote.

Getting rid of the OPR not only reduces compliance burdens for exchanges, it frees up regulatory bandwidth for the SEC, both in the regulatory debates over “protected quotes” and for inspections of exchanges. Everyone will save money, to the benefit of investors.

An Indicative BBO should be based on trading a constant dollar amount.

The current National Best Bid and Offer (NBBO) is often displayed to give investors a sense of the current state of liquidity for a stock. However, the current NBBO is for a tiny dollar amount for low-priced stocks and an absurdly high dollar amount for high-priced stocks. The majority of trading in some high-priced stocks is now in odd lots, making the NBBO a very misleading measure of trading costs in those stocks.

The SEC has attempted a Rube-Goldberg kludge by changing the round lot size for some high-priced stocks, but this just adds still more costly complexity to the market and does not fix the problem. The NBBO is not a consistent indicator of liquidity or the cost of trading to investors, even with the recent changes.

It makes sense to construct a general benchmark that shows the price at which one could buy or sell a constant dollar amount such as \$5,000. The

Indicative Best Bid and Offer (IBBO) would be disseminated through standard data feeds.²⁰

Investors should be shown the Effective Best Bid or Offer (EBBO) for the exact size of their order.

It is now trivial for a computer to examine the displayed depths of book and calculate what the price would be to trade a given dollar amount against the displayed orders. Brokers should display an Effective Best Bid and Offer (EBBO) to investors when they place an order for a given size. This would give investor much more precision about the price they are likely to receive.

Execution quality should be measured against the EBBO.

There has been much discussion over the years around “price improvement.” However, how much of the current “price improvement” is really an improvement over the displayed interest in the market and how much of it is just an artifact of bad quotes that ignore odd lots? Using the EBBO provides a much more precise benchmark for measuring execution quality.

(Almost) Nobody has copied the OPR. That should tell us something.

While we love to beat our chests and brag that our capital markets are the best in the world, it is useful to look at what other countries have done as they have modernized their capital markets. The US does not have a monopoly, or even a technical lead, in regulatory thought.

²⁰ 100 shares of a \$50 stock cost \$5,000.

Most developed economies have adopted competitive market structures in their equity markets. Of those that have, only one, Canada, has copied our OPR. Canada's policy is consistent with their general pattern of having market rules consistent with the United States, especially for interlisted stocks. However, even Canada has not copied the OPR in its entirety. Canada only protects the quotes of markets that meet a 2.5% market-share threshold.²¹

The fact that no other developed country has adopted a similar rule even after 20 years should tell us something: The rule isn't needed. Just scrap it.

Respectfully submitted,

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²¹ <https://www.osc.ca/en/securities-law/instruments-rules-policies/2/23-330/csa-staff-notice-23-330-order-protection-rule-market-share-threshold>